leanhorizons CONSULTING

Wise Business Forms

Lean Assessment:

- **Alpharetta Plant**
- **Corporate Financial Analysis**



Based on the Visit from July 7-9, 2026

Food for Thought

“Company culture is what the most powerful people in the organization are willing to tolerate.”

- Jason E. Neal - Accidentally Aligned

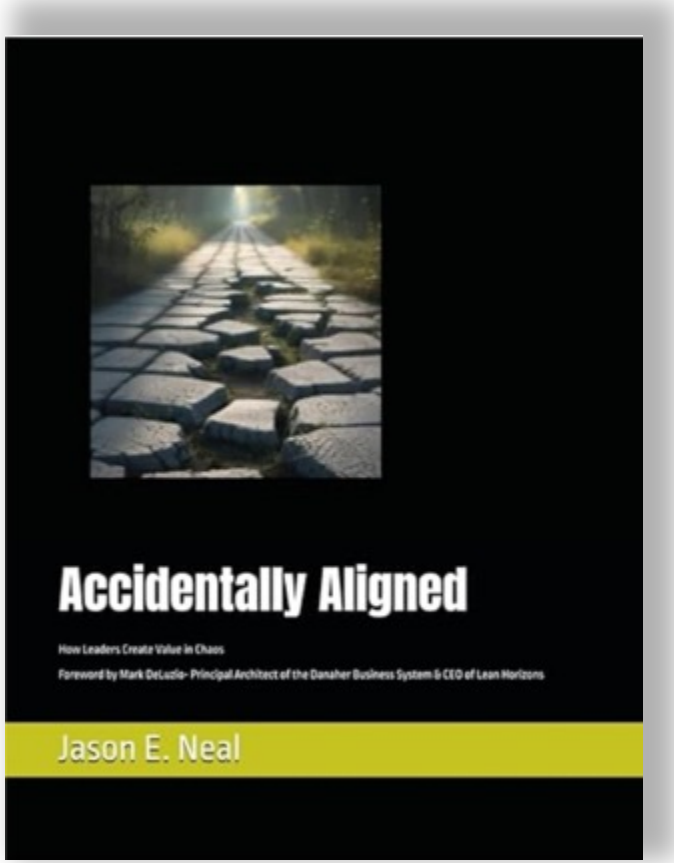


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Introduction

All forms of waste are evaluated

World-class Lean means eliminating waste across the enterprise, not just the shop floor.

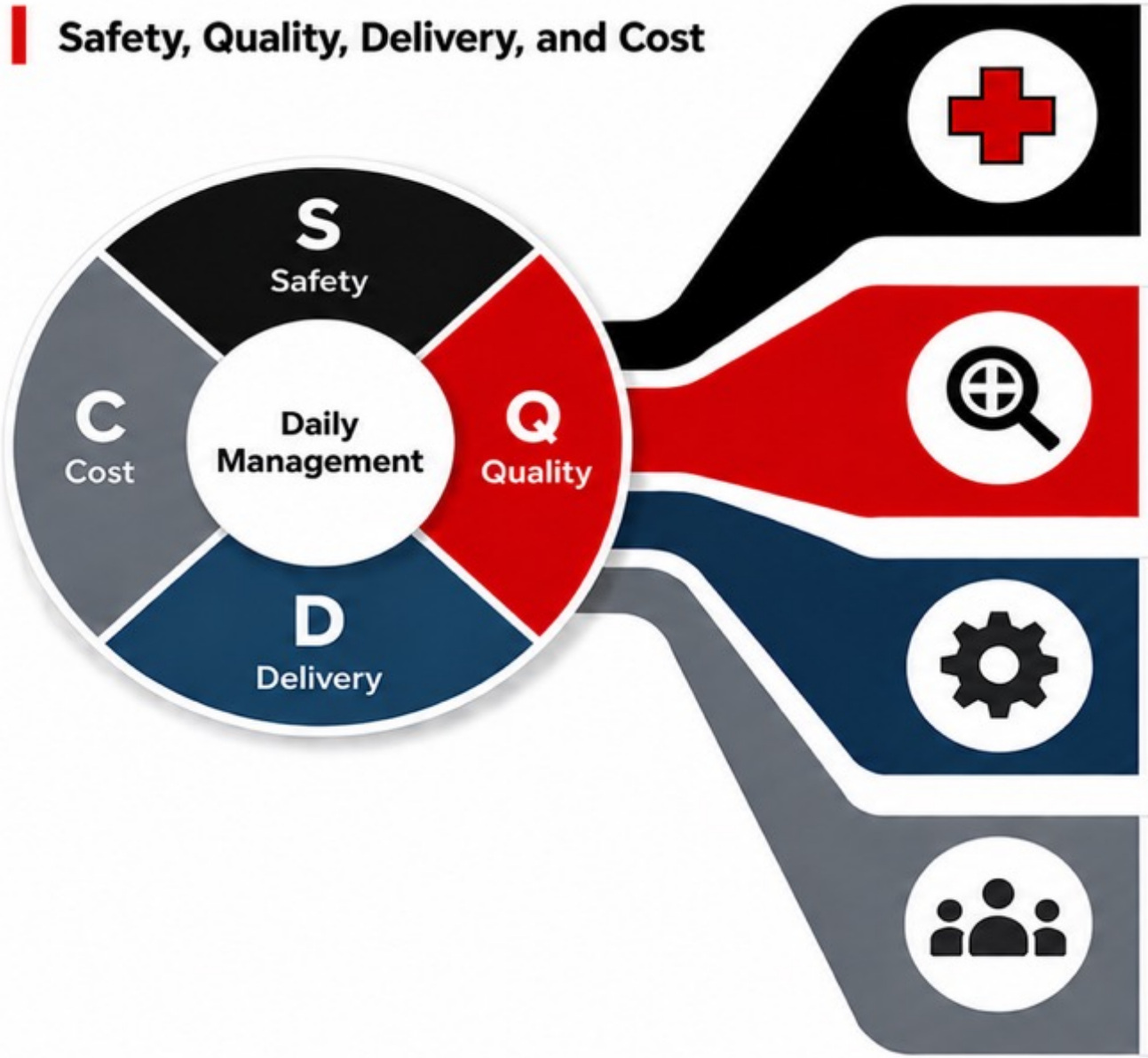
	Types of Waste	Description	Assessment Focus
1	**Muda**	Work that consumes time, cost, or capacity without contributing to customer value—often visible in processes, rework, handoffs, and delays.	**Operational execution** and day-to-day process design
2	**Mura**	Unevenness in demand, workload, priorities, or decision flow that disrupts stability and drives reactive management.	**Cross-functional flow,** planning, and decision-making
3	**Muri**	Sustained strain on people, systems, or assets beyond practical limits, increasing risk, errors, and burnout. *MURA and MURI originate from policy.*	**Organizational design,** roles, and management expectations

Greatest opportunity lies in enterprise flow (Mura/Muri), not local efficiency (Muda).

Enterprise Performance Themes

***Strengthening* the operating system to enable safe, predictable, and scalable performance.**

Safety, Quality, Delivery, and Cost



SAFETY AND QUALITY

Significant safety concerns were observed across multiple areas, including at-risk behaviors, inadequate guarding, and inconsistent adherence to standards. Quality is primarily inspected in rather than built into the process, leading to rework and variability. Jidoka (stop and fix) and Poka Yoke (error proofing) standards were missing, allowing defects and issues to pass through the system.

END-TO-END FLOW

Our three major operations—Printing, Collating, and Binding/Finishing—function as independent PUSH systems that allow for the accumulation of inventory between each process. This ties up cash, extends customer lead times, and exposes WISE to built-up quality issues.

LEAN MANAGEMENT SYSTEMS

Little evidence was observed regarding Lean practices and methodology. Specific areas of concern are MAKE-READY Operations (SMED) and Total Productive Maintenance (TPM). No visual "at a glance" systems were observed, making it difficult to understand the current condition. Lack of STANDARDS made it difficult to move from PROBLEM FIXING to PROBLEM-SOLVING. There does not exist an organizational framework to advance the operations with Lean principles and methodologies.

PERSONNEL

Alpharetta has a highly experienced but aging workforce. Lack of STANDARDS makes training and onboarding difficult. It appears operators and supervision spend a majority of their time reacting to problems and abnormatities rather than executing robust processes. The work ethic is robust; however, we must ask ourselves if we are giving our people the opportunity to "win."

Lean Assessment Findings

Lean operating system assessment

Safety

Designed into daily work and leadership routines

Food for Thought

”Safety is the most important thing. Before Quality, before productivity.”

- Taiichi Ohno - Father of the Toyota Production System



Taiichi Ohno
1912 - 1990

SAFETY IS DEMONSTRATED BY THE CONDITIONS WE ALLOW TO EXIST

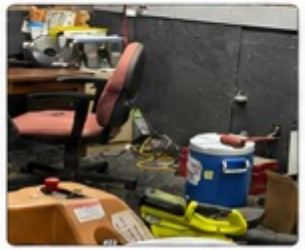
WHAT WE TOLERATE



FALLING HAZARD



HEARING PROTECTION OBSERVED BUT NOT WORN



TRIPPING HAZARDS



LEGS SUSCEPTIBLE TO POSSIBLE LACERATIONS



SLIPPING HAZARD



EXPOSED CHEMICALS (INK)



SAFETY PREVENTION DEVICES MISSING



MOVING ROLLERS EXPOSED

PROBLEM CONDITION OBSERVED

Numerous unsafe conditions and at-risk behaviors were observed throughout the facility, indicating that hazard identification and risk mitigation are not consistently integrated into daily operations. Many of these conditions—including exposed rotating equipment, housekeeping deficiencies, inadequate use of personal protective equipment, unsecured materials, and uncontrolled chemical exposure—represent recognizable hazards that should be routinely identified and corrected before they become accepted as normal operating conditions. When these conditions persist, employees become desensitized to risk, increasing the likelihood of injuries while reinforcing a reactive rather than preventive safety culture.

RECOMMENDATION

Establish a proactive safety management system that focuses on eliminating hazards before exposure occurs. Leaders should routinely conduct structured safety observations, correct unsafe conditions immediately, and hold all levels of the organization accountable for maintaining a safe workplace. Standardize housekeeping, visual controls, PPE compliance, machine safeguarding, and hazard reporting to ensure safety is embedded into daily work rather than dependent upon individual awareness.

WHAT GOOD LOOKS LIKE

- Hazards identified and eliminated before exposure.
- PPE worn whenever required without exception.
- Housekeeping maintained as a daily standard.
- Machine safeguards installed, maintained, and never bypassed.
- Chemicals properly stored and controlled.
- Leaders routinely verify safe conditions through Gemba observations.



LEADERSHIP MESSAGE

A safe workplace is not achieved through policies—it is created by the standards leaders expect and the conditions they refuse to tolerate.

Quality

End-to-end quality embedded in the process

Food for Thought

"Control quality at its source; quality should be an upstream and everywhere in the stream concept and practice, not merely downstream as has too often been the case."

- Dr. Joseph M. Juran - “The Juran Trilogy”

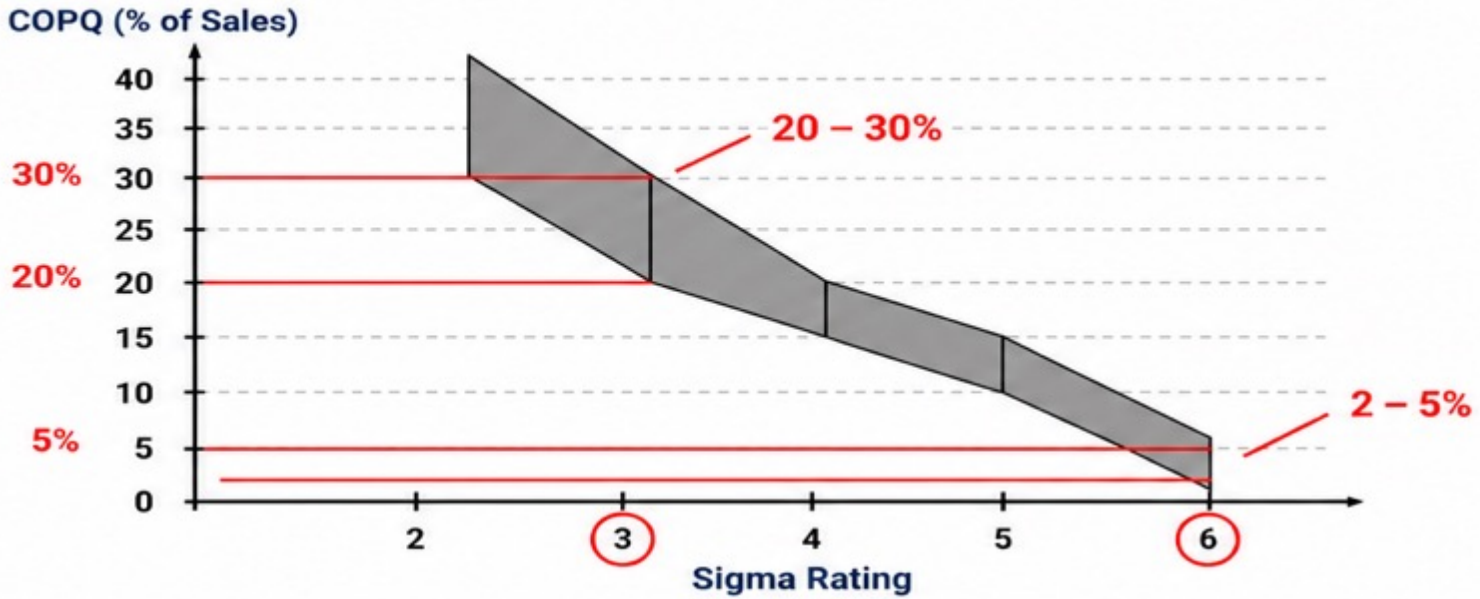


Dr. Joseph M Juran
1904 - 2008

THE COST OF POOR QUALITY

There is a correlation between a company's COPQ and the σ Rating of its key processes

COPQ (% OF SALES) VS. SIX SIGMA RATING



6 SIGMA REFERENCE

Sigma	PPM
1	691,462
2	308,538
3	66,807
4	6,210
5	233
6	3.4

THE COST OF POOR QUALITY @ 10 – 20% OF REVENUE RANGES AS FOLLOWS:

ALPHARETTA

$700K to $1,400K

WISE CONSOLIDATED

$3.6 MILLION to $7.2 MILLION

Note: COPQ = Cost of Poor Quality

STANDARDS CREATE CONSISTENT QUALITY

Subjective Machine Standards Create Variable Results

Settings Left to Operator Discretion





No Standards to Set the Line



Ink Standards Not Apparent



PROBLEM CONDITION OBSERVED

Quality is being managed through operator judgment instead of defined and controlled machine standards.

When settings, adjustments, ink, and process parameters are left to discretion, variation is built in.

This leads to inconsistent print quality, rework, waste, longer setup times, and customer dissatisfaction.

RECOMMENDATION

Establish and document machine standards for all critical settings, adjustments, and operating conditions.

Use data, not opinion, to determine optimal standards.

Post and audit standards at the point of use.

Train operators and require adherence.

Continuously review and update standards based on performance.

WHAT GOOD LOOKS LIKE

- Documented machine standards for all critical settings.
- Standards are based on data and best-known method.
- Standards are posted at the machine and easy to follow.
- Operators are trained and follow standards every time.
- Performance is consistent with minimal variation.
- First-time quality is the expectation.

MACHINE STANDARD EXAMPLE

JOB: ABC Company – Form 123456
DATE: 5/15/24 REV: A

Web Tension (lbs)	18
Print Speed (FPM)	850
Impression (mils)	4.5
Ink Density (Top/Bottom)	1.30 / 1.30
Registration (mm)	+0.10
Dryer Temp (°F)	275
Slit Possition (mm)	25.00
Turn Bar Pressure (psi)	65

Measure – Adjust – Verify – Document

LEADERSHIP MESSAGE

Excellence is not achieved by catching defects—it is achieved by designing them out of the process.

SEE IT | SAY IT | STOP IT | OWN IT | LIVE IT

ASSURE QUALITY BEFORE PASSING IT ON

No incoming inspection on raw materials violates the "Assure Quality Before Passing it On" Principle.

Input quality (paper) to a process (printers) is a large factor in determining quality.



PROBLEM CONDITION OBSERVED

- No incoming inspection process for raw materials **(paper, ink, plates, coatings, etc.)**.
- Quality of incoming materials is unknown until **after** it is in the process.
- Defects, variation, and off-spec materials enter the process.
- Rework, waste, machine downtime, and **customer issues occur**.
- Root cause is **difficult** to determine.
- **Cost** of poor quality is increased.

RECOMMENDATION

- **Establish** incoming inspection for all raw materials.
- **Define** acceptance criteria and sampling plans.
- Inspect and document material quality **before use**.
- Reject or segregate nonconforming materials.
- Work with suppliers to resolve **quality issues** at the source.
- Only quality materials should be allowed into the process.

WHAT GOOD LOOKS LIKE

- All raw materials are inspected upon **receipt** against documented **standards**.
- Inspection records are **maintained** and **traceable**.
- Only conforming **materials are released for production**.

EXAMPLE: PAPER INSPECTION STANDARD

Characteristic	Specification	Check Method	Frequency
Basis Weight	± 2.0%	Scale / GSM Test	Each Roll
Moisture	4.0% – 6.0%	Moisture Meter	Each Roll
Caliper	± 5%	Micrometer	Each Roll
Surface / Smoothness	Pass	Visual / Test Kit	Each Roll
Splices / Damage	None Allowed	Visual	Each Roll

LEADERSHIP MESSAGE

Quality is built on quality inputs. Defects are much harder and more expensive to fix downstream.

SEE IT | SAY IT | STOP IT | OWN IT | LIVE IT

EQUIPMENT CONDITION DRIVES PRODUCT QUALITY

If You Expect Quality Output, Focus on Quality Process

TPM Total Productive Maintenance

POOR EQUIPMENT CONDITION



- Worn Parts
- Loose Fasteners
- Leaking Fluids
- Dirty & Neglected
- Out of Adjustment
- Unreliable Operation

THE CONNECTION

Equipment Condition
↓
Process Quality
↓
Product Quality

GOOD EQUIPMENT CONDITION



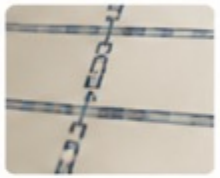
- Properly Maintained
- Clean & Inspected
- Tight & Secure
- In Adjustment
- Reliable & Stable
- Consistent Performance

THE BOTTOM LINE

YOU CAN'T INSPECT IN → **QUALITY MUST BE BUILT IN** → YOU CAN MAINTAIN IN

Quality Output is the Result of a Quality Process, and a Quality Process Requires Quality Equipment.

EQUIPMENT CONDITION IMPACTS EVERY QUALITY CHARACTERISTIC

DIMENSION	REGISTRATION	SURFACE FINISH	CONSISTENCY	RELIABILITY	YIELD
					
Wear causes variation out of tolerance.	Loose or worn parts cause misalignment.	Dirty or damaged components leave defects.	Unstable equipment creates variable results.	Breakdowns create defects and delays.	Poor condition leads to scrap and rework.

TPM: PROTECT QUALITY. IMPROVE PERFORMANCE.

- **Planned Maintenance** — Prevent failures. Maintain capability.
- **Autonomous Maintenance** — Clean, inspect, tighten, lubricate. Every day.
- **Focused Improvement** — Eliminate losses. Improve standards.
- **Engaged People** — Operators take care of their equipment.

Well-maintained equipment produces predictable, repeatable, high-quality products.

BETTER EQUIPMENT CONDITION → BETTER PROCESS QUALITY → BETTER PRODUCT QUALITY

SEE DISCUSSION ON **TPM** IN THE **EQUIPMENT** SECTION.

SEE IT | SAY IT | STOP IT | OWN IT | LIVE IT

Delivery

Reliable delivery is a business system outcome—driven by designed flow and clear ownership

Food for Thought

”Produce only what is needed, when it is needed, and in the amount needed."

- Kiichiro Toyoda - Founder Toyota Motors



Kiichiro Toyoda
1894 - 1952

BATCH & QUEUE MANUFACTURING = LONG LEAD TIMES AND POOR OTD

PROBLEM CONDITION OBSERVED

- Large batch production results in excessive lead times to the customer (Average 10-15 days).
- Processing time = 1-2 hours.
- Large batches consume capacity from other current orders, create excess inventory, and violate JIT Principles.

RECOMMENDATION (1)

- Convert operations from a batch-oriented production process to a one-piece flow process with the implementation of Standard Work, stressing **TAKT** Time adherence.

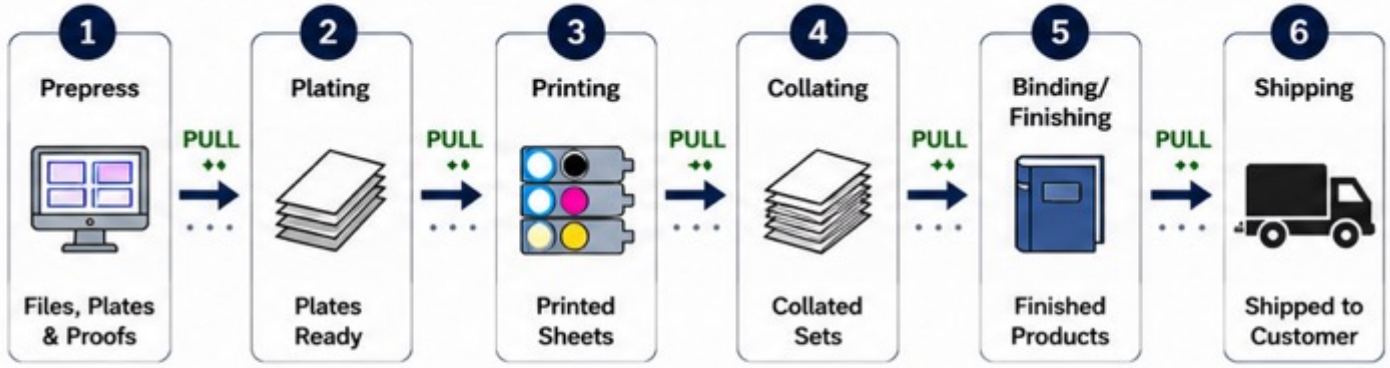
KEY INSIGHT

- Inventory is directly related to Lean Time, which drives On Time Delivery

STANDARD WORK SHEET

Operation:	Job Production – Print Manufacturing
Sequence To:	Customer

Part No.:	N/A
Part Name:	Printed Product



PULL SYSTEM: Each process produces only what the next process needs, when it is needed.

Quality Check	Safety Precaution	Standard WIP	# Pieces WIP	TAKT Time	Cycle Time
✉	+	⬭	1 (One-Piece Flow)	2.0”	1.6”

BATCH PROCESS

- High Inventory
- Long Lead Times
- Low On Time Delivery

ONE-PIECE FLOW WITH STANDARD WORK

- Lower Inventory
- Shorter Lead Times
- Higher On Time Delivery

BUSINESS IMPACT

- Improve On Time Delivery
- Reduce Inventory
- Increase Customer Satisfaction
- Improve Cash Flow

RIGHT PROCESS. RIGHT FLOW. RIGHT TIME. | LESS INVENTORY = LESS LEAD TIME = BETTER OTD

SIOP - Sales • Inventory • Operations • Planning

Align Demand. Align Supply.
Deliver Results.

PROBLEM CONDITION OBSERVED

- True customer demand not properly matched to production schedule.
- Customer Service determines customer schedule commitments without visibility of true lead times of the supply chain. This results in customer dissatisfaction and rework/expediting.
- Resulting in long lead times, poor OTD %, excessive inventory levels.

Do our customer orders truly match our customers' requirements (consumption)?

RECOMMENDATION (1)

Implement Demand Management process (SIOP - Sales Inventory Operations Planning) - creates demand-pull schedules via elimination of MRP push-based scheduling.

KEY INSIGHT

Although many issues are customer-initiated, these demands subside as our quality and lead times improve.

THE SIOP FRAMEWORK



BETTER DECISIONS
Commit with confidence

MORE PREDICTABLE DELIVERY
On time, every time

STRONGER FINANCIAL RESULTS
Lower risk, higher performance

LEAD TIME REDUCTION

is crucial for

- GROWTH
- QUALITY
- DELIVERY
- FINANCIAL (CASH FLOW)

reasons.

MUST START MEASURING DELIVERY PERFORMANCE TO THE CUSTOMER REQUEST DATE, NOT THE CUSTOMER PROMISE DATE.

Aligned customer expectation is communicated and managed across the value stream.

DATE EXPECTATION ALIGNMENT

PROMISE DATE (Internal Commit)	VS.	REQUEST DATE (Customer Need)
Not a true measure of customer experience		True measure of delivery performance to the customer

POOR ALIGNMENT DRIVES POOR RESULTS

MISALIGNED DEMAND → INACCURATE SCHEDULES → INCREASED INVENTORY → LONG LEAD TIMES → POOR OTD / POOR QUALITY

ALIGNMENT DRIVES EXCELLENCE

ALIGNED DEMAND → ACCURATE SCHEDULES → OPTIMAL INVENTORY → SHORTER LEAD TIMES → HIGH OTD / HIGH QUALITY

ONE PLAN. ONE TEAM. ONE COMMITMENT. | RIGHT DEMAND. RIGHT INVENTORY. RIGHT DELIVERY.

Inventory

One-piece flow exposes opportunities - Inventory conceals it

Food for Thought

”The more inventory a company has, the less likely they will have what they need.”

- Taiichi Ohno - Father of the Toyota Production System



Taiichi Ohno
1912 - 1990

THE POWERFUL CONNECTION

Lower Inventory → Lower Lead Time → Better Cash Flow

1. REDUCTION IN INVENTORY



Lower raw materials, WIP and finished goods inventory

BENEFITS

- Less space required
- Lower holding costs
- Less obsolescence & waste
- Simplified management

2. LOWER LEAD TIME TO CUSTOMER



Faster flow through the value stream delivers products to the customer sooner

BENEFITS

- Faster response to customer demand
- Improved on-time delivery
- Higher customer satisfaction
- Greater agility and competitiveness

3. IMPROVEMENT IN CASH FLOWS



Cash is released and flows back to the business

BENEFITS

- More working capital available
- Stronger liquidity
- Lower borrowing needs
- More investment capacity for growth

CONTINUOUS IMPROVEMENT CYCLE

LOWER INVENTORY DRIVES LOWER LEAD TIME, WHICH IMPROVES CASH FLOW.

LEANER OPERATIONS. HAPPIER CUSTOMERS. STRONGER BUSINESS.

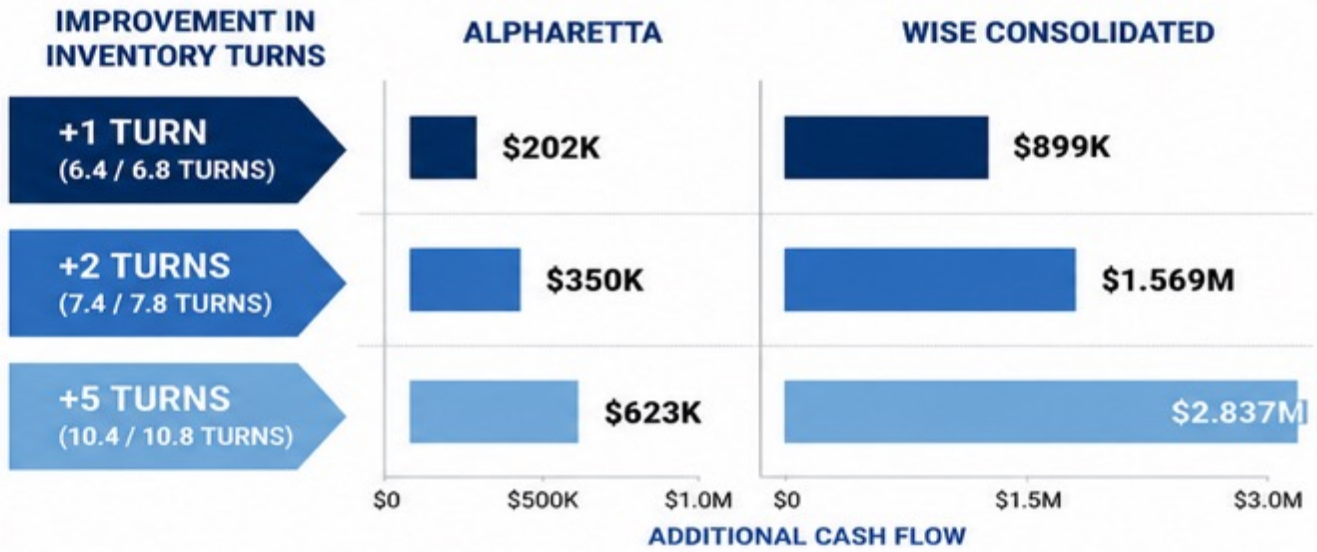
CASH FLOW OPPORTUNITY
THROUGH INVENTORY REDUCTION

FY2025 FINANCIAL OVERVIEW*

METRIC	ALPHARETTA	WISE CONSOLIDATED
COST OF SALES	$7.055M	$35.969M
INVENTORY	$1.299M	$6.154M
CURRENT INVENTORY TURNS	5.4	5.8

** Based on FY2025 Financials*

CASH RELEASED BY IMPROVING INVENTORY TURNS



PROBLEM CONDITION

- Inventory turns remain well below Lean manufacturing expectations.
- Excess inventory consumes working capital, increases lead time, and masks operational problems.

BUSINESS IMPACT

- Improving inventory performance by just one turn would generate nearly **$900K** in additional cash across WISE.
- Achieving 10.8 inventory turns would free approximately **$2.8M** in working capital while improving responsiveness and reducing waste.

INVENTORY REDUCTION IS NOT SIMPLY A COST INITIATIVE—
IT CONVERTS HIDDEN WASTE INTO CASH WHILE IMPROVING FLOW, CUSTOMER RESPONSIVENESS, AND ENTERPRISE VALUE.

Equipment

Flexible equipment, build-in quality, on time, every time - your competitive advantage

Food for Thought

”All setups can be reduced by 59/60ths.”

- Shigeo Shingo - The ”Father of SMED”



1909 - 1990

SMED – SINGLE MINUTE EXCHANGE OF DIE (MAKE-READY)

PROBLEM CONDITION OBSERVED

- Excessive Make-Ready times result in longer batch-production runs, stealing capacity from orders that are due today.
- 120 minute Make-Ready observed on the printer

A DEDICATED MAKE-READY TEAM NEEDS TO BE ESTABLISHED.

Operator roles must be separate from the Make-Ready team, where Operators only assist in preparing external activities prior to the next Make-Ready changeover.

KEY INSIGHT

There is a direct correlation between the % reduction in Make-Ready time and lead times and inventory.



Photo 1: Manual Turning of Bolts & Fasteners



Photo 2: Tools Scattered Everywhere

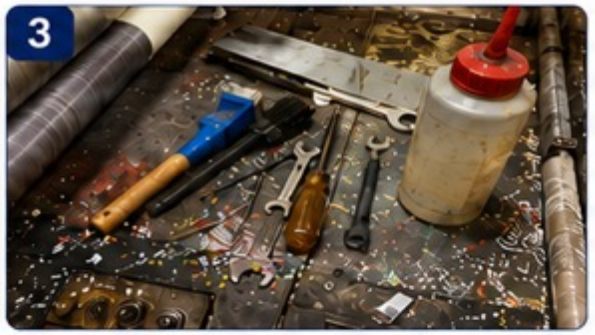


Photo 3: Tools Scattered Everywhere



Photo 4: One Make-Over Operator = Excessive Walking and Tool Search

LESS DOWNTIME

MORE CAPACITY

CONSISTENT QUALITY

LEAN IN ACTION

RULES OF SMED

5S

SMED begins and ends with 5S.

SMED Operator's feet stay still.

SMED DELIVERS MEASURABLE IMPACT

SHORTER LEAD TIMES
Respond faster to customer demand.

LOWER INVENTORY
Smaller batches, lower inventory investment.

MORE CAPACITY
Freed-up time to produce what customers need, when they need it.

BETTER PERFORMANCE
Higher OTD, lower cost, stronger results.

REDUCE MAKE-READY TIME. INCREASE FLEXIBILITY. IMPROVE DELIVERY. DRIVE RESULTS.

WASTE IN EQUIPMENT

PROBLEM CONDITION OBSERVED

Several spot checks revealed that over 70% of the PRINTERS and COLLATORS were not running for unknown reasons.

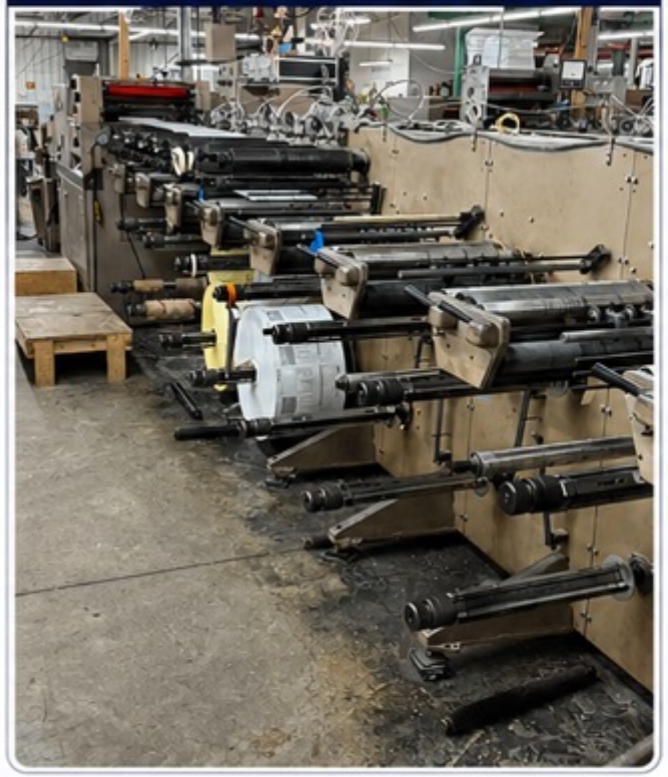
RECOMMENDATION

Perform root cause analysis to determine the causes of equipment downtime. Perform Kaizen on a priority basis.

KEY INSIGHT

It is estimated that 30–50% improvement in capacity is possible, which favorably impacts the CAPEX budget and cash flow.

PICTURE 1: COLLAATOR IDLE



PICTURE 2: PRINTER IDLE



IMPACT OF REDUCING EQUIPMENT WASTE

INCREASE CAPACITY
30–50% capacity improvement potential.

REDUCE LEAD TIMES
Shorter cycles and faster changeovers improve flow and delivery.

LOWER CAPEX
Improve capacity with existing equipment. Delay or avoid new capital investments.

IMPROVE CASH FLOW
More output, lower waste, and reduced capital needs improve cash flow.

ELIMINATE WASTE. MAXIMIZE CAPACITY. IMPROVE DELIVERY. STRENGTHEN RESULTS.

KAIZEN TODAY. CAPACITY TOMORROW.

TPM – TOTAL PRODUCTIVE MAINTENANCE

Reliable Equipment. Safe Operations. Quality Products. On-Time Delivery.

PROBLEM CONDITION OBSERVED

Equipment condition is poor.
Maintenance is reactive vs. proactive.
No TPM Program or dedicated maintenance support exists.
No maintenance standards exist.

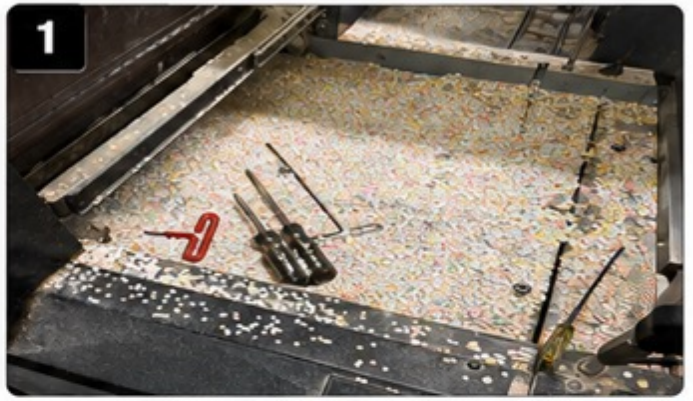
RECOMMENDATION

Create a dedicated TPM team and TPM process, separating the highly skilled maintenance tasks from low-skilled tasks that should be assigned to the operator.

KEY INSIGHT

Equipment not maintained impacts **SAFETY** and **QUALITY**, and ultimately, **SERVICE** to the customer..

EXAMPLES OF TPM GAPS



Picture 1: Cutouts not controlled



Picture 2: Clogged motor/filter



Picture 3: Counting die condition questionable



Picture 4: Fluids leaking from machine

TPM DELIVERS

IMPROVE SAFETY
Fewer breakdowns, safer operations.

IMPROVE QUALITY
Stable processes, consistent quality.

IMPROVE DELIVERY
Reliable equipment, on-time delivery.

LOWER COST
Less downtime, lower maintenance cost.

BUILD AND SUSTAIN TPM STANDARDS. ENGAGE PEOPLE. ELIMINATE LOSSES. DRIVE PERFORMANCE.

EQUIPMENT SPEED STANDARDS

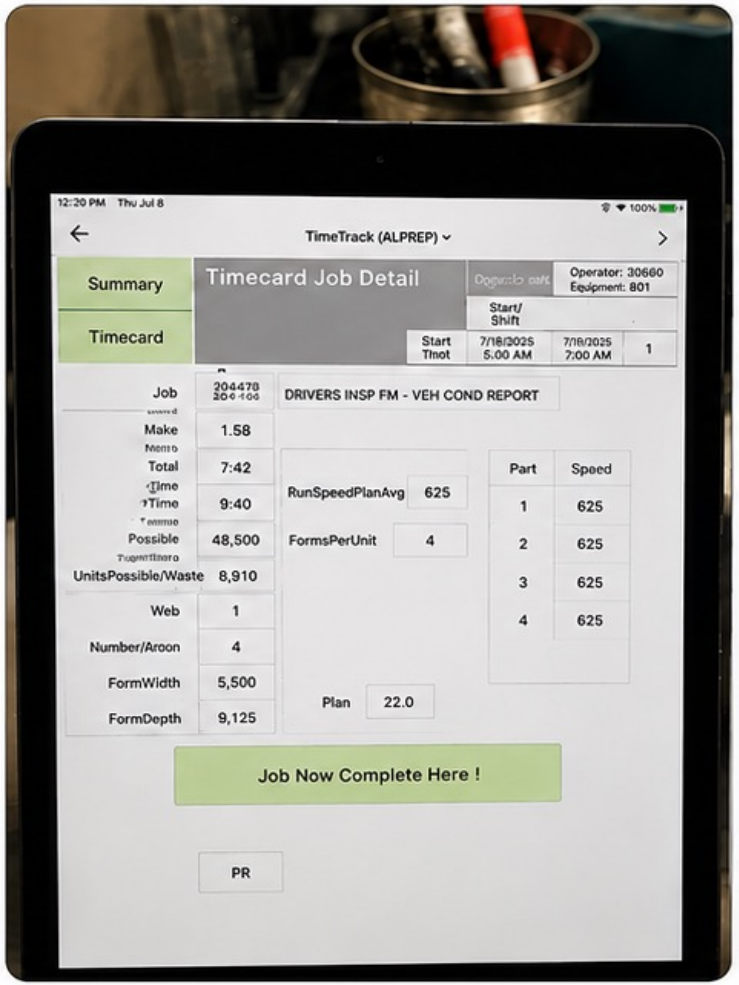
PROBLEM CONDITION OBSERVED

Operators have discretion to set line speeds. The following line speeds, vs. the "standard" were observed as follows:

ACTUAL SPEED:	STANDARD:
350 FPM	475 FPM
475 FPM	625 FPM

RECOMMENDATIONS

- Establish appropriate line speeds in consultation with the operator's understanding of equipment condition and quality requirements.
- The operator should not be allowed to adjust line speed standards without supervisor approval.





Standard calls for 625 FPM, line set at 475 FPM

SET THE RIGHT SPEED. IMPROVE QUALITY. REDUCE WASTE. **DRIVE PERFORMANCE.**

QUESTIONS FROM THE GEMBA – CAPEX FROM A LEAN PERSPECTIVE

PROBLEM CONDITION OBSERVED

Capital equipment decisions need to evolve from a pure, isolated ROI decision process to a more comprehensive Lean analysis, which answers the key questions of Lean Capex criteria.

RECOMMENDATION

Apply Lean thinking and the Socratic Method to every CapEx request. Challenge assumptions, explore alternatives, and ensure the investment supports flow, quality, and long-term competitiveness.

KEY INSIGHT

The best investment is one that eliminates waste, improves flow, and strengthens capability— not just buys equipment.

LEAN 911

What criteria do you use to evaluate a request for capital equipment?



USE THE SOCRATIC METHOD BY ASKING:

1. **Why** do you need a new machine?
2. Is there an **alternative**?
3. Tell me about the **Kaizens** on the old machine?
4. Will it meet **TAKT** Time: Now and in the future?
5. Have you prepared a **Process Capacity Analysis** of the new equipment?
6. Will the equipment fit into a **FLOW** cell, or will it be a **BATCH** operation?
7. What is the **changeover time**?
8. How will you **"assure"** quality? (Different than "checking" quality.)
9. What is the **Cpk** of the new equipment?
10. What are the technical **capabilities and resources** to run and maintain the equipment?
11. Can it be **maintained** without interfering with the operator?

THE GOAL

Invest in solutions that eliminate waste, create flow, improve quality, and build people capability.

CHALLENGE ASSUMPTIONS | EXPLORE ALTERNATIVES | ALIGN WITH LEAN PRINCIPLES | INVEST WISELY

"You cannot buy a solution to your problems. Use your brain before your wallet." - *Chihiro Nakao, Toyota*

People

Clarity, capability, and accountability enable people to deliver results

Food for Thought

”Toyota does not build cars…they build people who build cars.”

“Toyota gets brilliant results with ordinary people running brilliant processes.”



RESPECT FOR PEOPLE

PROBLEM CONDITION OBSERVED

- Operators are expected to perform to outdated standards with little support.
- WISE wants to improve but has no framework for doing so.
- WISE leadership has not established repeatable, robust processes and standards, resulting in firefighting as the norm.
- Employee turnover reported as “high” (30-40%).
- No formal training process or standards exist.
- No incentive to learn new skills.

RECOMMENDATIONS:

- Establish a Lean organization and engage employees in targeted Kaizen events.
- Establish a professional HR team skilled in talent and people development.
- Create standards and the related daily management process via Kaizen.



Expecting change in an environment where change is not possible is a disrespect to employees.

HUMAN RESOURCES
KEY RESPONSIBILITIES IN TALENT MANAGEMENT

A professional approach to Talent Management is essential to attract, develop, engage, and retain the right people to grow.

KEY RESPONSIBILITIES

TALENT ACQUISITION

- Attract and recruit high-quality talent.
- Build a strong candidate pipeline.
- Ensure a positive candidate experience.

ONBOARDING & INTEGRATION

- Create a consistent, professional onboarding process.
- Accelerate new hire productivity and engagement.
- Reinforce company culture and values.

PERFORMANCE MANAGEMENT

- Establish clear expectations and goals.
- Provide ongoing feedback and coaching.
- Recognize and reward strong performance.

LEARNING & DEVELOPMENT

- Identify skills gaps and development needs.
- Provide training and development opportunities.
- Build leadership capability and succession pipelines.

EMPLOYEE ENGAGEMENT

- Foster a culture of trust, respect and inclusion.
- Promote communication and collaboration.
- Drive engagement to increase retention and productivity.

COMPENSATION & TOTAL REWARDS

- Design competitive and equitable compensation programs.
- Align rewards with performance and business results.
- Communicate total rewards value.

IN ORDER TO GROW, A PROFESSIONAL APPROACH IS REQUIRED.

Effective talent management is not an administrative function—it is a strategic driver of performance, innovation, and long-term business success.

FOCUS | ALIGN | GROW

Methods

Standard methods turn strategy into repeatable execution

Food for Thought

”What they need to know they cannot see.”

- Toyota Executive when asked why they allow their competition into their factories.



INTERNAL FINANCIAL/PERFORMANCE METRICS

PROBLEM CONDITION OBSERVED

- Internal financial/performance metrics are not meaningful to operations leadership.
- Outdated standards are used to evaluate efficiencies and productivity.
- Reporting not useful in solving problems and are a distraction to operating personnel.

RECOMMENDATIONS

Eliminate the reporting metrics.



If a report does not help solve a problem, it is waste.

THE COST OF POOR QUALITY
~10% OF REVENUE

STANDARDS & PROBLEM SOLVING

PROBLEM CONDITION OBSERVED

Little to no standards exist, and that without standards, **improvement is impossible.**

No formal problem-solving process exists.

The company norm is to **FIX**, not **SOLVE**, problems.



"Without standards, improvement is impossible."

– Taiichi Ohno

RECOMMENDATIONS

Train staff on formal **problem-solving methodology.**

Create standards on key processes, such as **Make-Ready and TPM.**

Problem-Solving Process

1. Define the Problem → 2. Analyze Root Cause → 3. Develop Countermeasures → 4. Implement & Verify → 5. Standardize & Sustain

Standards create stability. Stability enables improvement.

THE COST OF POOR QUALITY
~10% OF REVENUE

VISUAL MANAGEMENT FOR ABNORMALITY DETECTION

PROBLEM CONDITION

Status of production (SQDC) is not easily detected.



Consequence: Problems are discovered too late, leading to rework, delays, and dissatisfied customers.

RECOMMENDATIONS

Establish visual management systems (see Model Cell) that provide abnormality detection at a glance.

MODEL CELL – VISUAL MANAGEMENT EXAMPLE

SQDC BOARD

S	Q	D	C
SAFETY	QUALITY	DELIVERY	COST
Any safety issues today?	Any quality issues today?	On track for delivery today?	On track to cost target?

DAILY TARGETS

SAFETY	QUALITY	DELIVERY	COST
0	≥ 98%	≥ 95%	≤ TARGET

PRODUCTION STATUS

	PLAN	ACTUAL	STATUS
LINE 1			
LINE 2			
LINE 3			
LINE 4			

ANDON

- QUALITY
- EQUIPMENT
- MATERIAL
- OTHER

TOP ISSUES

1. Defect – Print smudge
2. Jam – Collator
3. Late material delivery

COUNTERMEASURES

1. Adjust print pressure
2. PM done – cleared
3. Follow up with supplier

SEE IT. KNOW IT. SOLVE IT.

Make problems visible so they can be solved early.



THE COST OF POOR QUALITY
~10% OF REVENUE

Visually Identify Critical Parts, Areas, and Items

Standard Color Guide

COLOR	CATEGORY	USED FOR
	Safety International Green	■ Safety Equipment, First Aid, Safety Posters, Notices
	Quality International Blue	■ Inspection Points, Quality Notices and Instructions, Gauging
	Standards Federal Safety Yellow	■ Operations Standards, Location Marks, New Tooling, Good Part Storage
	Defects Federal Safety Red	■ Scrap, Bad Parts, Warranty Materials, Dull Tools
	Maintenance Pure White	■ Repair Tools, TPM Materials, Machinery, Cleanliness

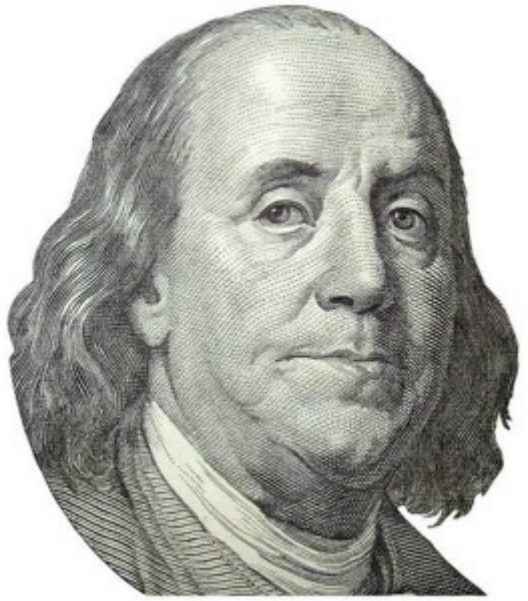
What to do next—and how

Lean Philosophy - to Lean Principles - to Lean Applications - to Lean Breakthrough Results

Food for Thought

”By failing to prepare, you are preparing to fail.”

- Benjamin Franklin



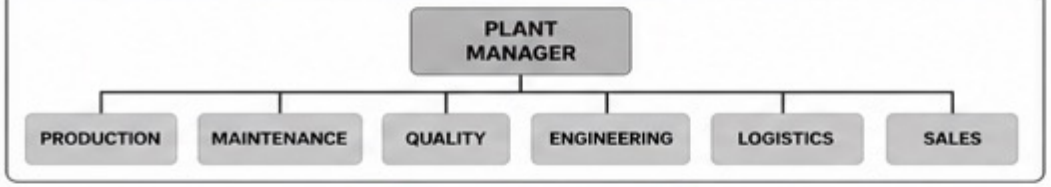
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BUILDING A VALUE STREAM ORGANIZATION

FROM FUNCTIONAL STRUCTURES TO LEAN, CROSS-FUNCTIONAL TEAMS

People organized around the value stream – focused on flow, quality, delivery, and continuous improvement.

FROM: TRADITIONAL FUNCTIONAL ORGANIZATION



TO: VALUE STREAM ORGANIZATION

VALUE STREAM TEAM

MAKE-OVER TEAM	TPM TEAM	OPERATORS	SUPERVISION	TECHNICAL	LOGISTICS
Rapid changeovers and set-up improvement.	Equipment reliability, maintenance excellence.	Operate, inspect, and maintain quality at the source.	Daily management, coaching, problem solving, and people development.	Process improvement, standards, training, and technical support.	Material flow, inventory control, delivery, and visual systems.

TEAM LEADER / VALUE STREAM MANAGER

FOCUS: SAFE • QUALITY • DELIVERY • COST • PEOPLE

Aligned to customer demand and committed to continuous improvement.

HOW WE SCALE: START SMALL, LEARN, THEN YOKOTEN

1 START SMALL

Select a Model Line (Value Stream) to pilot the new organization and ways of working.

2 BUILD CAPABILITY

Develop standard work, daily management, problem solving, and continuous improvement within the team.

3 YOKOTEN (DEPLOY)

Share learning across the organization and replicate the model to other value streams.

MODEL LINE (PILOT)



MAKE-OVER | TPM TEAM | OPERATORS | SUPERVISION | TECHNICAL | LOGISTICS

YOKOTEN







...

THE RESULT

OWNERSHIP

Cross-functional teams own performance and solve problems.

PERFORMANCE

Improved quality, delivery, cost, and safety.

PEOPLE

Engaged, empowered teams develop skills and grow.

CONTINUOUS IMPROVEMENT

Daily Kaizen builds a culture of learning and relentless improvement.

START SMALL. LEARN FAST. SHARE. YOKOTEN. GROW TOGETHER.

FOCUS | ALIGN | GROW

MODEL CELL – WHY & REQUIREMENTS

Build the Foundation. Prove the Value. Enable the Transformation.

WHY A MODEL CELL?

1. 

Demonstrate the "Lean Way" to do things

Show what good looks like and create a standard to follow.

2. 

It's a working classroom

Learn by doing. Build skills, develop people, and grow Lean capability.

3. 

Working in one part of the shop to prove to everyone that is works.

Yokaten to follow.

REQUIREMENTS FOR A MODEL CELL:

1. 

Expert Coach

Deep involvement is essential to guide, develop, and sustain results.

2. 

Appropriate level of funding allocated

Invest appropriately to enable the right outcomes.

3. 

Appropriate level of resources allocated

People, time, equipment, and materials aligned to support success.

 | START SMALL. LEARN FAST. PROVE RESULTS. **THEN SCALE.**

MODEL CELL – A COMPLETE LEAN SYSTEM

Built on Lean Principles to Deliver Value, Eliminate Waste, and Engage People

1 VISUAL MANAGEMENT
Performance at a glance. Make problems visible, improve every day.

2 STANDARD WORK
Documented best way. Ensures consistency, quality and safety.

3 5S WORKPLACE
Organized, clean, safe, and efficient work environment.

4 FLOW & LAYOUT
Cell design supports one-piece flow and minimal movement.

5 TAKT TIME
Paced to customer demand. Meet demand, not ahead of it.

6 VISUAL CONTROLS
Use visual signals (Andon) to quickly identify and respond to issues.

7 SUPERMARKET & PULL SYSTEM
Inventory is controlled by pull to prevent overproduction.

8 QUALITY AT THE SOURCE
Built-in quality checks and mistake-proofing. Do it right the first time.

9 PEOPLE & ENGAGEMENT
Trained, empowered team members. Ideas encouraged, problems solved.

10 CONTINUOUS IMPROVEMENT
Kaizen every day. Relentless pursuit of perfection.

11 DEMAND MANAGEMENT – SIOP
Align demand and supply through Sales, Inventory, and Operations Planning. Right demand. Right time. Right quantity.



LEAN PRINCIPLES IN ACTION

- **DEFINE VALUE** – From the customer's perspective
- **MAP VALUE STREAM** – Identify and eliminate waste
- **CREATE FLOW** – Make value flow smoothly
- **ESTABLISH PULL** – Produce only what is needed, when needed
- **SEEK PERFECTION** – Continuously improve every day

RIGHT PRODUCT. RIGHT QUALITY. RIGHT QUANTITY. RIGHT TIME. RIGHT COST. SAFELY.

DELIVERING VALUE TO THE CUSTOMER – EVERY DAY.

PLAN-DO-CHECK-ACT FRAMEWORK
TO CREATE A MODEL LINE

Structured approach to build capability, validate results, and scale improvement across the organization.

PLAN
AUGUST – SEPT 2026

PLAN THE MODEL LINE

- Define scope: product family, processes, and equipment
- Set goals, metrics, and targets
- Map current state and identify gaps
- Develop future state and implementation plan
- Prepare team, resources, and training plan

OUTPUT: Model Line Plan Approved

DO
OCT 2026 – MAR 2027

BUILD AND IMPLEMENT

- Execute improvement initiatives on the Model Line
- Standard work and visual management
- 5S and workplace organization
- Equipment reliability / TPM
- Train and develop team
- Daily management and problem solving

OUTPUT: Implemented Model Line with Measurable Results

CHECK
VIA STEERING COMMITTEE

MEASURE AND EVALUATE

- Review performance vs. goals
- Analyze results and gaps
- Validate benefits (Quality, Delivery, Cost, People)
- Capture lessons learned
- Confirm readiness for broader rollout

OUTPUT: Steering Committee Assessment & Approval

ACT
APR 2027 – DEC 2027

YOKOTEN & SCALE

- Yokoten rollout on a strategic basis per plan
- Deploy proven standards, tools, and practices
- Develop people and capability across Value Streams
- Continuously improve and sustain results

OUTPUT: Scaled Improvement Across Value Streams

MONTHS 1 – 2
(AUG – SEPT 2026)

MONTHS 3 – 8
(OCT 2026 – MAR 2027)

ONGOING
(MONTHLY / QUARTERLY VIA STEERING COMMITTEE)

MONTHS 9 – 17
(APR – DEC 2027)

OUR GOAL: Build a high-performing Model Line that becomes the benchmark for continuous improvement and scalable results.

QUALITY | DELIVERY | COST | PEOPLE

EXECUTIVE STEERING COMMITTEE

Governance Drives Lean Transformation

PROBLEM CONDITION OBSERVED

- No formal governance structure exists to sustain Lean transformation.
- Improvement priorities risk becoming disconnected from enterprise objectives.
- Resources, talent, and capital decisions are not consistently aligned with strategic priorities.
- Kaizen results and accountability are not reviewed through a common executive forum.

RECOMMENDATION

Establish a monthly Executive Steering Committee chaired by the CEO to:

- Review enterprise KPIs and Kaizen performance
- Remove barriers to implementation
- Set 90-day priorities
- Allocate people, capital, and resources
- Develop Lean leadership capability
- Ensure company-wide alignment

KEY INSIGHT

Lean transformation succeeds when executive leadership governs the system—not individual projects.

EXECUTIVE GOVERNANCE MODEL



MEMBERS

- CEO (Chair)
- CFO
- VP Sales
- Director of Continuous Improvement
- General Managers (All)
- Lean Advisors (Senior Advisors)
- Functional Support Leaders (IT, HR, Engineering, Legal, etc.)
- Operations Representatives
- Lean Representatives

FREQUENCY: MONTHLY | **FORMAT: IN PERSON / ZOOM / COMBINATION**

MEETING AGENDA

1 REVIEW
- Enterprise KPIs
- Kaizen results
- Action items (Newspaper)
- Financial impact

2 PLAN
- Next 90-day Kaizen plan
- Resource allocation
- Capital requirements

3 SUPPORT
- Remove barriers
- Cross-functional coordination
- Leadership decisions

4 DEVELOP
- Leadership capability
- Talent review
- Long-term succession planning

5 LONG-TERM PLANNING
- Plans beyond 90 days
- Structural moves
- Personnel planning
- Capital requirements

ONE TEAM • ONE GOVERNANCE PROCESS • ONE SET OF PRIORITIES • CONTINUOUS IMPROVEMENT

Financial Projections & Analysis

WISE BUSINESS FORMS 3 YEAR FINANCIAL PROJECTION

With Rigorous Application of Lean Principles & Methodologies

USD $$$

USD (000's)

Item	Impact Area	Opportunity	Assumptions	FY2025 12 Months Actual	Improvement Impact				3 Year Summary	
					Year 1	Year 2	Year 3	Total	P&L Impact	Cash Flow Impact
Productivity	P&L + Cash Flow	Rigorous application of Standard Work with proper Cell Design	10% Improvement per Year on Labor & Fringes assuming no wage increase and flat sales volume	$9,258	$926	$833	$750	$2,509	$6,422	$8,797
Quality	P&L + Cash Flow	Rigorous Quality Improvement program focusing on SUPPLIER, INTERNAL & EXTERNAL quality.	33% Minimum improvement annually in the Cost of (Poor) Quality. Assume COPQ = 10% of Cost of Revenue	$4,523	$1,493	$1,000	$670	$3,163		
SG&A	P&L + Cash Flow	n/a	Assume no SG&A Improvements	n/a	n/a	n/a	n/a	$0		
Inventory Carrying Costs	P&L + Cash Flow	Reduction of carrying costs due to inventory reduction.	Inventory Carrying Costs @ 15% of Inventory Value	$923	$138	$256	$356	$751		
Inventory (Lead-time Reduction)	**Balance Sheet (Cash Flow)**	Right-size inventory with application Lean and Supply Chain Optimization	15% Improvement in inventory investment per year assuming flat sales volume (Represents ~10% improvement per year in Inventory Turns)	$6,154	$923	$785	$667	$2,375		
			Inventory Turns:	5.84	6.39	7.04	7.82			

Summary	FY2025	Year 1	Year 2	Year 3	Total
EBIT Impact	Before Tax	$2,557	$2,089	$1,776	$6,422
Cash Flow Impact	P&L + Balance Sheet	$3,480	$2,874	$2,443	$8,797
Estimated Flat Net Revenue Based on FY2025 Actual	$45,229	$45,229	$45,229	$45,229	
Operating Margin / (EBIT) based on FY2025	$1,628	$4,185	$6,274	$8,050	
Operating Profit % (EBIT)	3.6%	9.3%	13.9%	17.8%	

KEY TAKEAWAY

Consistent improvement across productivity, quality, and inventory will drive strong EBIT and cash flow gains over the next 3 years.

LEAN TODAY.
STRONGER TOMORROW.

Lean Principles & Methodologies drive sustainable Profit and Cash Flow improvement. *Focus. Execute. Improve.*

WISE Business Forms

Inventory Turn Analysis

Based on FY2025 DEC YTD

	Butler	FT Wayne	Alpharetta	Portland	Anderson	Total
Total COGS	$10,552,023	$7,338,166	$7,055,454	$7,996,357	$2,906,596	$35,848,597
Total Inventory	$2,430,862	$1,078,512	$1,299,229	$1,003,573	$342,053	$6,154,228
Inventory Turns	4.34	6.80	5.43	7.97	8.50	5.83
Cash from 1X Turn Improvement:	$455,145	$138,200	$202,042	$111,907	$36,015	$901,714



$900,000 Free Cash Flow by Just 1X Inventory Turn Improvement

WISE Business Forms – Financial Comparative Analysis (Before Distributive)

Cost of Goods Sold Comparative - By Cost Category

Based on FY2025 DEC YTD

	Butler	FT Wayne	Alpharetta	Portland	Anderson	Total
Direct Materials	58%	53%	54%	62%	56%	**57%**
Factory Labor	29%	36%	31%	19%	26%	**28%**
Factory Fixed Expenses	9%	7%	9%	14%	15%	**10%**
Other Supplies & Expenses	4%	5%	6%	5%	3%	**5%**
Total COGS	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**

P&L Comparative

Based on FY2025 DEC YTD

	Butler	FT Wayne	Alpharetta	Portland	Anderson	Total
Net Sales	100.0%	100.0%	100.0%	100.0%	100.0%	**100.0%**
Total COGS	85.6%	71.9%	77.0%	82.6%	75.2%	**79.3%**
Gross Profit	14.4%	28.1%	23.0%	17.4%	24.8%	**20.7%**
Administration Expense	3.5%	3.3%	5.8%	3.9%	10.0%	**4.6%**
Marketing & Advertising Expense	1.2%	2.8%	1.3%	0.9%	12.7%	**2.5%**
Operating Income	9.7%	22.0%	15.9%	12.6%	2.1%	**13.7%**
Other Income & Expense	0.9%	0.7%	0.7%	0.4%	6.0%	**1.2%**
Net Income	**8.7%**	**21.2%**	**15.2%**	**12.2%**	**-4.0%**	**12.5%**

WISE Business Forms, Inc.

Financial Analysis 2025 vs. 2024

All Figures in USD$

Financial Metric	WISE 2025	WISE 2024	% Change
Fiscal Year:			+/-
Sales	$ 45,229.1	$ 41,725.9	8.4%
COS	$ 35,968.7	$ 33,586.8	7.1%
Gross Margin	$ 9,260.4	$ 8,139.1	13.8%
Gross Margin %	**20.5%**	**19.5%**	**96.8 BP**
SG&A	$ 7,632.5	$ 7,247.7	5.3%
SG&A %	16.9%	17.4%	-49.5 BP
Operating Profit	$ 1,627.8	$ 891.4	82.6%
Operating Profit %	**3.6%**	**2.1%**	**146.3 BP**
Net Income	$ 1,167.1	$ 494.1	136.2%
Net Income %	**2.6%**	**1.2%**	**139.6 BP**
Working Capital			
+ Inventory	$ 6,154.2	$ 4,693.2	31.1%
+ Accounts Receivable	$ 4,027.0	$ 4,175.7	-3.6%
- Accounts Payable	$ (2,834.9)	$ (2,535.9)	11.8%
Working Capital $ Total	**$ 7,346.3**	**$ 6,333.0**	**16.0%**
Working Capital Efficiency			
Inventory Turns	5.8	7.2	-18.3%
Days Receivable Outstanding	32.5	36.5	-11.0%
Working Capital Turns - Total	**6.2**	**6.6**	**-6.6%**
Free Cash Flow Calculations			
Operating Cash Flow	$ 1,428.8	$ (648.1)	-320.5%
- Capital Expenditures	$ (1,010.0)	$ (1,321.3)	-23.6%
= Free Cash Flow	$ 418.8	$ (1,969.4)	-121.3%
FCF as % of Net Income	**36%**	**-399%**	**43446.7 BP**
Headcount	225	225	0.0%
Sales/Employee	**$ 201,018,222**	**$ 185,448,444**	**8.4%**

BP = Basis Points (1 BP = 0.01%)

Wise Business Forms, Inc.

Working Capital & CAPEX Scenario Modeling

INVENTORY	ACTUAL 2025	SCENARIO 1 + 1	SCENARIO 2 + 2	SCENARIO 3 + 3
Turns:	5.84	6.84	7.84	8.84
Inventory $	**$6,154**	$5,255	$4,585	$4,067
Cash Flow Savings		**$899**	**$1,569**	**$2,087**

ACCOUNTS RECEIVABLE	ACTUAL 2025	-1	-5	-10
Days Outstanding	32.5	31.5	27.5	22.5
Accounts Receivable $	**$4,027**	$3,903	$3,407	$2,788
Cash Flow Savings		**$124**	**$620**	**$1,239**

CAPEX	ACTUAL 2025	-1.00%	-2.00%	-3.00%
% of Revenue	2.2%	1.2%	0.2%	-0.8%
CAPEX $	$1,010	$558	$105	-$347
Cash Flow Savings		**$452**	**$905**	**$1,357**

Total Cash Flow Savings	$1,475	$3,093	$4,683

All figures in USD$

Final Thoughts

Your company is perfectly engineered

to realize the results you have achieved



SAFETY
Built in.
Every time.

QUALITY
Designed to
exceed standards.

DELIVERY
On time.
Every time.

COST
Smart today.
Stronger tomorrow.

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